Prof. Abhiroop Mukherjee

Alex Sharpe's Portfolio Discussion Guidelines

1. Download the raw data file from the class website under canvas.ust.hk. Estimate and compare the average returns and variability of Reynolds and Hasbro. Which stock appears to be the riskiest by itself?
2. Suppose Sharpe's position had been 99% of equity funds invested in the Vanguard 500 Index and either 1% in Reynolds or 1% in Hasbro. Estimate the average return and volatility of the resulting portfolio. How does each stock affect the variability of the equity investment? How does this compare to your answer in question 1?
3. Perform a regression of each stock's monthly excess returns on the V500 Index excess returns to find the "beta" for each stock. What is the meaning of the slope estimate, and how does it relate to your answer in question 2?
4. How to measure "riskiness" and how might the expected return of each stock relate to its riskiness?
5. How to interpret the intercept estimate from the regression line?
6. So, in what stock(s), if any, should Sharpe invest?